their debt would be legitimate. Moreover, to the extent that the regime could not borrow to finance theft or build monuments to its own glory, resources would be preserved to service the old debt, thus enhancing its value.

But would it work? The trouble is that implementation of the proposal could have other, unintended, consequences. Though creditors would not be forced to guess whether the loan they made to a country would be viewed as legitimate, they might still be left guessing whether it would be valuable. Here is why: few developing countries or expanding firms can repay all the debt they have contracted or even generate substantial income unless they have access to further financing. This is because countries and firms rely on growth – a steady stream of new projects and continuing old projects to provide both the cash flows to service debt incurred to set up those projects as well as a residual amount – to service older debt. Countries and firms typically grow their way out of debt.

But if future debt were declared odious, the country would no longer be able to borrow to continue old projects, let alone finance new ones (assuming, of course, that the odious regime was not bent on driving the country into immediate economic collapse – if it were so destructive, few would be willing to lend in the first place, and there would be no need for a special procedure to declare its debt odious). Even if the odious regime had the intention of servicing its debt, the declaration that the regime's future debt was odious would make it very difficult for it to do so. When coupled with the fact that the incentives to repay debt come, in part, from the attraction of continuing to be able to borrow, it might well be that the regime defaults on existing debt as soon as it is declared odious, with adverse consequences for its valuation. The proposal to declare only future debt odious might mitigate some of the concerns associated with the